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CASE #	CASE NAME	HEARING NAME
CVRI2504898	ZAKI vs TADROS	MOTION TO DISQUALIFY ORRICK, HERRINGTON & SUTCLIFFE LLP AS COUNSEL FOR DEFENDANT MICHAEL TADROS, REQUEST FOR DISGORGEMENT OF ATTORNEYS' FEES AND PROHIBITION ON USE OF CORPORATE FUNDS FOR DEFENSE OF MICHAEL TADROS

Tentative Ruling:

GRANT the motion to disqualify.

Plaintiff Fady Zaki ("Zaki"), a 50% shareholder in Plaintiff corporations, Sky Pharma Corp., 3E Pharmacy Corp., and 3E Pharmacy, Inc. (collectively 'the Companies"), brings this action both individually and derivatively against his co-owner, Defendant Michael Tadros ("Tadros"), alleging misappropriation of corporate funds. Zaki, individually and derivatively on behalf of the Companies, now seeks to disqualify Orrick, Herrington and Sutcliffe LLP ("Orrick") from representing Tadros, arguing that there is an unwaivable conflict arising from its successive and concurrent representation of the derivative plaintiffs and the nominal defendants (the Companies). Zaki states that Orrick has represented both Tadros and the Companies since 2020, when Tadros retained the firm to respond to allegations from Zaki of corporate mismanagement. In January of 2025, Orrick responded to Zaki's pre-litigation settlement demand on Tadros's behalf, prepared a tolling agreement binding both parties, and accepted service for both Tadros and the Companies. This derivative litigation followed, with the Companies being named as nominal Defendants in the action.

The facts of Orrick's representation are as follows; Tadros was the sole director and CEO of the Companies throughout Orrick's representation. Tadros was Orrick's sole contact person at the Companies during the entire five-year period of representation. Tadros retained Orrick in 2020 to represent both himself and the Companies he controlled in response to Zaki's adverse demands. The Companies are closely-held Delaware limited liability companies in which Zaki and Tedros each hold a 50% interest. The Companies' operations were under Tadros's control as sole director and CEO. Any confidential information Orrick obtained came from Tadros or was information to which Tadros had full access to by virtue of his position.

California courts have uniformly held that an attorney who previously represented both a closely-held entity and its insiders may continue to represent the insiders in a derivative action, despite the substantial relationship between the prior and current representations. (*See, Forrest v. Baeza (1997*) 58 Cal.App.4th 65; *Blue Water Sunset, LLC v. Markowitz* (2011) 192 Cal.App.4th 477; *Ontiveros v. Constable* (2016) 245 Cal.App.4th 686) Hence, the continued representation of insiders is permitted. Zaki, however, argues that Orrick has engaged in per se disqualifying *concurrent* representation by simultaneously representing the Companies and Tadros during the pre-litigation phase and in the instant action. The court agrees. Where an attorney simultaneously represents clients with adverse interest in the same litigation, disqualification is automatic. (*See, M'Guiness v. Johnson* (2015) 243 Cal.App.4th 602.) When Orrick undertook to represent Tadros in this action, it appeared adverse to its own clients, the Companies. There is no evidence that Orrick's representation of the Companies terminated before it undertook the representation of Tadros in the litigation. Orrick's declaration states that it "took no action in this case on behalf of the companies" other than obtaining an extension, and that it "represents only Tadros in this derivative case." Notably absent from this carefully worded statement is any affirmative representation that Orrick's attorney-client relationship with the Companies ended entirely, or when and how any such termination occurred. The evidence supports the opposite conclusion. The Companies made payments to Orrick through at least November 2025, three months after this action was filed. The memo line on at least one check states "Fadi Zaki," suggesting payment related to this dispute. Here, Orrick continued to control and limit Zaki's access to the Companies' records for over five years, Orrick negotiated a tolling agreement on behalf of both the Companies and Tadros that tolled the Companies' derivative claims against Tadros, and Orrick produced the Companies' records to Zaki while simultaneously representing Tadros. Where, as here, the engagement was open-ended, the firm continued invoicing the corporation, and post-dispute conduct suggests the firm continued to act as corporate counsel, the Court cannot make an affirmative finding that Orrick's representation of the Companies terminated before Orrick undertook Tadros's defense. The continued invoicing, payment history, and control of the corporate records all suggest otherwise. Under these circumstances, *M'Guinness* controls.

Zaki's request to prohibit the corporate funding of Tadros's defense is denied, as Corporations Code § 317 allows for the advancement of expenses and Zaki offers no case law supporting prejudgment prohibition based on allegations alone. Zaki's request for disgorgement of fees already paid is also denied, as this remedy is unavailable to Zaki at this time. Disgorgement requires a finding that the fees were improperly authorized or that Tadros acted wrongfully. No such findings have been made, as that determination necessarily follows adjudication on the merits.